

ban bitcoins. However, they can make dealing in it illegal. But even then, there's no way for the state to track who's dealing in bitcoins because of the anonymity it provides. Besides, even if some countries ban it, not all governments will share the same viewpoint.

▪ **Why are governments and banks sceptical of Bitcoin?**

Why does anybody fear anything? Either they don't understand it or are threatened by it. I am sure we can cross off the former reason. Governments and banks are feeling threatened because they have genuine reason to be. Bitcoin is questioning the way currency and banks work and the latter don't know how it's going to turn out. They can speculate for sure, but nothing is certain. In simple words, governments and banks are afraid to lose control.

▪ **People believe it to be a Ponzi scheme. Are they right?**

The main principle at work in any Ponzi scheme is that there's a single entity behind it. This entity has malicious intentions and at an opportune moment, runs away with the money. With Bitcoin, there's no single entity controlling it. All the work is done by nodes and miners. There might have been a possibility of a backdoor in the software code, but it's open source! Any such bug, flaw or backdoor would be visible to the community and will be fixed before any harm can be caused.

▪ **Is it possible to take down the Bitcoin network?**

Yes, if the community loses faith in it, it may decide not to be a part of the network. However, it'll be a very difficult task for any government or national agency to take down the network because it has spread across the world. It's very similar to the BitTorrent network. Even if they do take it down, the source code is available to anyone. A similar network can be created by anyone, anywhere in the world.

▪ **Is it safe to invest in bitcoin?**

Personally, I would advise against it. However, if you

Did you know?

- Only a limited number of bitcoins can be mined in total. The cap is set at 21 million and this quota is expected to be mined by 2140.
- The reward which is assigned to a miner upon successful mining is set to decrease by half every time a 210,000th transaction block is generated. It takes approximately four years to generate 210,000 transaction blocks. The reward started with 50 BTC and is currently set at 25 BTC.
- Bitcoin (with a capital B) is used to denote the Bitcoin network and bitcoin (with a small b) is used to denote the currency.
- The minimum denomination in which bitcoins can be dealt is .00000001. This is called a Satoshi.
- The German Ministry of Finance has officially recognised bitcoin as a valid currency.
- On October 29, 2013, the world's first Bitcoin ATM went online in Vancouver, Canada. It was installed by a company named Bitcoiniacs.
- A Malta-based company named Exante Ltd has created the world's first bitcoin-based hedge fund.

wish to experiment, either wait till the exchange rate drops or ask a friend.

A more exhaustive list of frequently asked questions about Bitcoin is available at <http://goo.gl/x1Tm7m>.

Satoshi Nakamoto has started a revolution in the form of Bitcoin which, if successful, holds the potential to replace the concept of currencies as we know it. More and more people are seeing value in dealing in bitcoins. Today, you can buy a beer, pizza, groceries, etc, by paying in bitcoins. Going by the current trend, it would seem that Bitcoin is here to stay. **END** 

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